

Hargreaves Lansdown

Platform assessment

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DRAFT — not client-usable
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The business

Hargreaves Lansdown runs the largest direct-to-consumer investment platform in the United Kingdom. It holds client assets, charges for administering them, and sells research, funds and a dealing service on top. The platform fee on assets under administration is the spine of the business.

That structure means the firm's revenue moves with markets and with flows rather than with trading volume, which makes it steadier than a broker's and more exposed to fee compression than a broker's is.

Where the advantage sits

The advantage is a defended franchise: brand, scale and switching cost operating together. Clients hold long-lived tax-advantaged accounts, and moving them is administratively unpleasant in a way that has nothing to do with how good a competitor's product is. That is switching cost in its strongest form, because it is created by the product's own structure rather than by inertia.

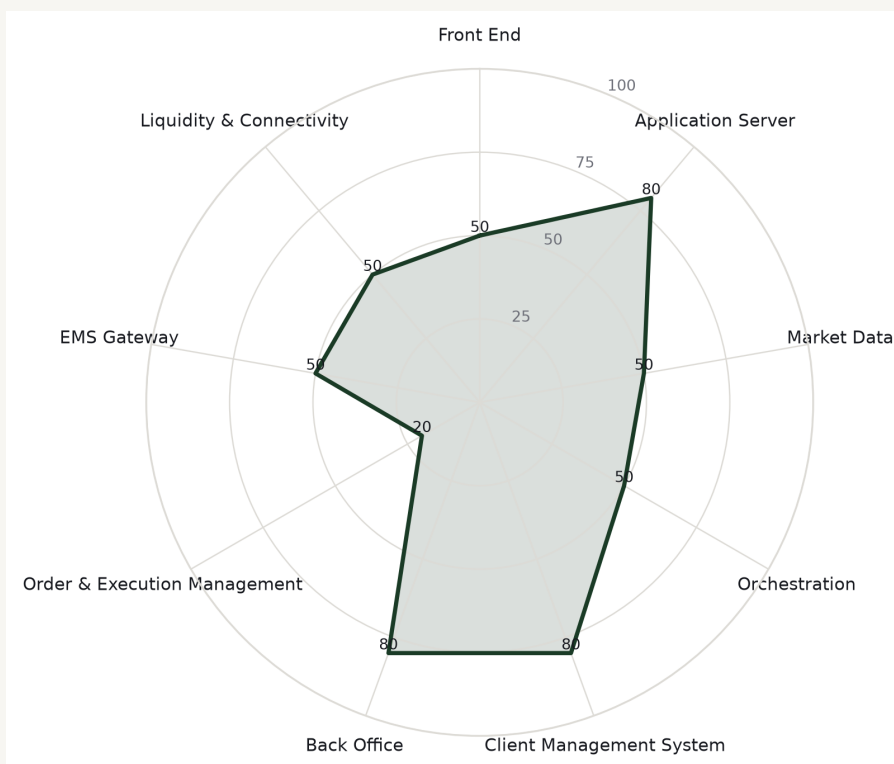
Scale economies are genuine on the administration side. The cost of running a platform does not rise proportionally with assets on it, and the firm has more assets on it than anyone else in its market.

What the firm does not have is a cornered resource or a process advantage its competitors could not replicate given time and capital. The moat is structural and commercial rather than technical.

What is holding it back

The constraint is that the defended franchise is defended against the wrong attack. Switching cost protects the firm from a client leaving; it does not protect the fee from being competed down by a platform that accepts a lower one, and it does not protect the next generation of clients who have not yet chosen a platform to be locked into.

The platform's own infrastructure reflects a business built for administration rather than for engagement. It is capable and it is not fast to change, and the pressure it will come under is a pressure to change quickly.



Module maturity across the assessed modules (0–100).

What to do about it

Compete for the client who has not yet chosen, on the terms that client actually uses to choose. That is a distribution and product problem before it is a pricing one, and pricing alone will not answer it.

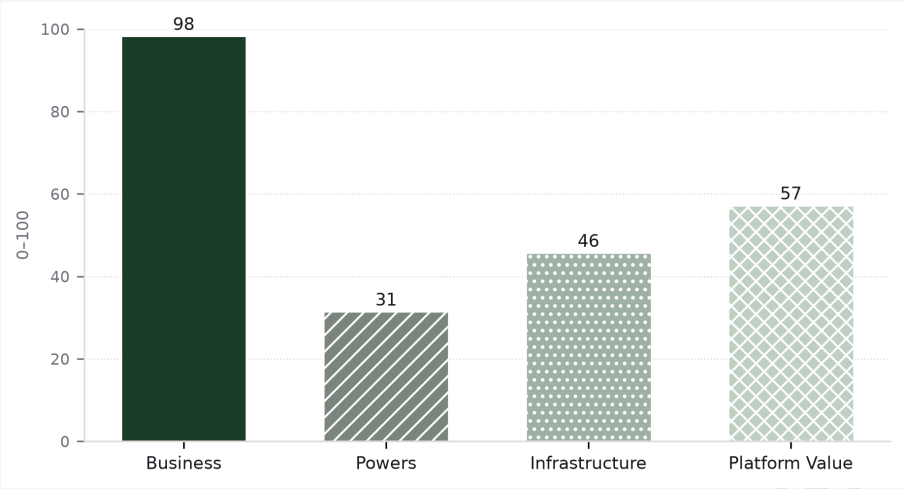
Modernise the platform incrementally behind a stable interface rather than attempting a replacement. The firm's advantage is continuity; a migration that puts continuity at risk spends the moat to buy the modernisation.

Make the research and planning surfaces the reason to stay, so that switching cost is increasingly something the client would regret rather than something the paperwork imposes on them.

What that is worth

The value here is defensive and it is large. A fee-led platform business loses value slowly and then suddenly, and the work described above is what converts a slow decline into a defensible position.

The appendix figures show a platform that scores well on the dimensions its current business needs and less well on the dimensions its next one will. That gap, rather than the headline number, is the finding.



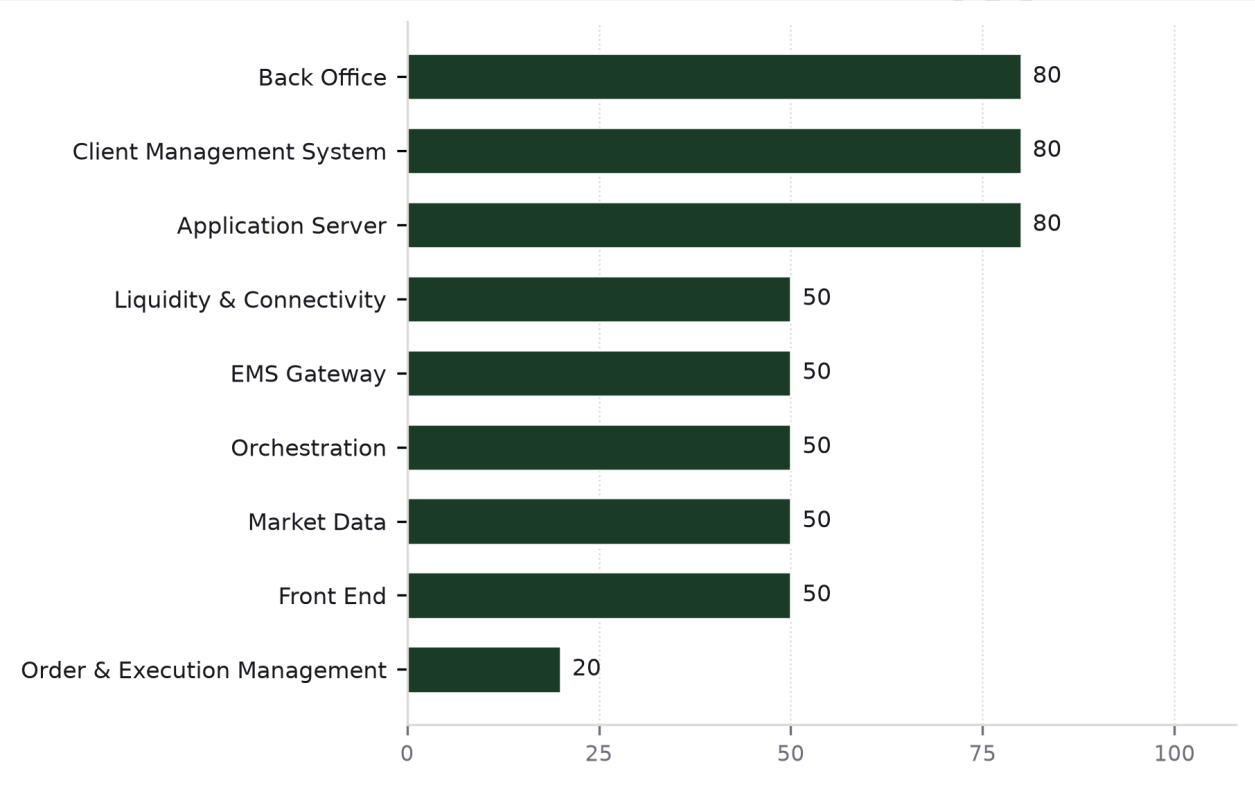
How Platform Value builds up from the underlying indices.

Technical appendix

Everything the narrative refers to, with the versions that produced it. The story ends here; what follows is the arithmetic behind it.

This is an illustrative example record, built from published information, and it is not a client engagement. It is seeded so that a new advisor can see a complete report end to end; every rendition of it is watermarked accordingly.

The figures below come from the scoring run this report is bound to. The methodology and coefficient versions that produced them are stated in the footer of every rendition, and the run is immutable, so this appendix and the document you are holding cannot drift apart.



Every assessed module, weakest first. Unassessed modules are omitted, not scored zero.

Every figure quoted in this report

Figure	Value	Source
Methodology version	1.1	run.methodology_version
Coefficient set version	v1-draft-pending-elicitation	run.coefficient_version
Engine version	0.1.0	run.engine_version
Platform Value (0-100)	57.2	run.v_display_0_100

Figure	Value	Source
Front End (0–100)	50	<code>run.modules.FRONTEND.q_m</code>
Application Server (0–100)	80	<code>run.modules.APP_SERVER.q_m</code>
Market Data (0–100)	50	<code>run.modules.MARKET_DATA.q_m</code>
Orchestration (0–100)	50	<code>run.modules.ORCHESTRATION.q_m</code>
Client Management System (0–100)	80	<code>run.modules.CMS.q_m</code>
Back Office (0–100)	80	<code>run.modules.BACKOFFICE.q_m</code>
Order & Execution Management (0–100)	20	<code>run.modules.OEMS.q_m</code>
EMS Gateway (0–100)	50	<code>run.modules.EMS_GATEWAY.q_m</code>
Liquidity & Connectivity (0–100)	50	<code>run.modules.LIQ_CONNECT.q_m</code>